

valuation gaps but requires sufficient liquidity for upfront cash payment. These funding channels demand disciplined underwriting, realistic synergy modelling and calibrated leverage to avoid cash-flow stress in a volatile market environment.

NEW CREDIT PLAYBOOK

Regulatory easing on high-risk assets demands robust bank frameworks, strategic partner-

nity, with the lenders having an edge with syndication savvy, real-time risk operations and cash flow discipline. Deal underwriting and syndication skills include building robust LBOs/M&A models (capturing synergies and integration risk), planning bridge to bond exits, mapping investors and documentation, plus obtaining sound cross-border legal opinions when deals involve offshore legs.

In live markets, securities-

conversion factors to off-balance sheet exposures.

RISK MANAGEMENT

The move towards liberalisation creates new opportunities but also brings in new challenges. Key strategies to manage these include: maintaining strict adherence to regulatory norms and strengthening governance frameworks for all risk-taking activities.

It is also crucial to conduct thorough evaluations to quantify risks in high-risk investments, including borrower profiles, sectoral exposure, and deal structures, before committing capital. Structured financing instruments could be leveraged to reduce exposure and safeguard against potential defaults.

Implementing real-time monitoring systems and conducting periodic reviews could address emerging vulnerabilities promptly. Banks could deploy continuous controls monitoring systems to transform their risk management through proactive intelligence.

A NEW CHAPTER

The RBI's reforms mark a shift towards measured liberalisation, expanding access to high-risk credit while tightening risk controls. Corporations gain more financing options and access to sophisticated structures previously available offshore, while banks must compete through expertise and technology-driven governance.

1. Reserve Bank of India (Commercial Banks – Credit Facilities) Amendment Directions, 2026). **BT**

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ships and compliant, risk-sharing structures for efficient capital deployment. Through syndicated lending, Indian banks can co-lend with international banks as mandated lead arrangers (MLAs) or security trustees, using market flex and Loan Market Association (LMA) transfer mechanics to optimise pricing/allocation, diversify risk and stay within exposure caps.

Banks could leverage external commercial borrowing (ECB) and International Financial Services Centre (IFSC) banking units to access cost-efficient foreign currency tranches for the acquisition of cross-border funding channels.

EMERGING SKILLS

The new rules unlock opportu-

backed lending or loan against shares demands daily mark-to-market discipline, intraday margining, precise haircut calibration, vigilant corporate actions monitoring and clear gap down playbooks for volatility shocks.

On the cash flow side, real estate investment trust (REIT)/infrastructure investment trusts (InvIT) lending hinges on reading trust deeds, validating waterfalls, setting and monitoring debt service coverage ratio/debt service reserve account covenants, supervising valuations and planning capex reserves to protect distributions.

At the core of these are Basel-grade analytics and the Internal Capital Adequacy Assessment Process (ICAAP). Banks compute ratings while applying credit